

Table 6.3 (Continued)

Traditional Finance Problem	Aave Solution
<i>Lack of interoperability:</i> Cannot monetize or utilize excess collateral in a lending position.	Credit delegation allows parties to use deposited collateral when they do not need borrowing liquidity.
<i>Opacity:</i> Unclear collateralization of lending institutions.	Transparent collateralization ratios of borrowers visible to the entire ecosystem.

DECENTRALIZED EXCHANGE

Uniswap

The primary example of an AMM on Ethereum is Uniswap.¹² We will focus our discussion on Uniswap v2. Recently, the third iteration of Uniswap was released and the v3 will be discussed later. Uniswap v2 uses a constant product rule to determine the trading price, using the formula $k = x * y$, where x is the balance of asset A , and y the balance of asset B . The product k is the *invariant* and is required to remain fixed at a given level of liquidity. To purchase (withdraw) some x , some y must be sold (deposited). The implied price is x/y and is the *risk-neutral* price because the contract is